IN THE NATIONAL COMPANY LAW TRIBUNAL
SINGLE BENCH, CHENNAI

CP/6/CAA/2019
in
CA/78/CAA/2018

Under Section 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Amalgamation

Between

M/s. HMS Infotech Private Limited
... Transferor Company

And

M/s. Hotelogix India Private Limited
... Transferee Company

And

Their respective Shareholders and Creditors

Order delivered on 20th February, 2019

CORAM:

CH. MOHD SHARIEF TARIQ, MEMBER(J)

For Petitioner(s) : M/s. Naveen Kumar Murthi &
Mr. G.V.Mohan Kumar, Counsel

For OL : Mr. K.Manivannan, Authorized Representative

ORDER

Per: CH. MOHD SHARIEF TARIQ, MEMBER (J):

1. Under consideration is Joint Company Petition No. 6/CAA/2019 filed under Sections 230 to 232 of the Companies Act, 2013 r/w the Companies

(Compromises, Arrangements and Amalgamations) Rules, 2016. As per the Scheme of Amalgamation (in Short, **'Scheme'**), M/s. HMS Infotech Private Limited (hereafter referred to as **'Transferor Company'**) is proposed to be merged, amalgamated and vested with M/s. Hotelogix India Private Limited (hereafter referred to as **'Transferee Company'**) as a going concern.

2. The Transferor Company is a Private Limited Company, having its Registered Office at Level 2, Agnitio Tech Park, 141, Kandanchavadi, Near Perungudi, OMR, Chennai – 600 096. The Transferee Company is a Private Limited Company, having its Registered Office at Ground Floor, Block 'A', Tek Meadows, No.51, Sholinganallur, Chennai, Kancheepuram – 600 119. The Transferor Company is carrying on the business to develop, produce, alter acquire, buy, sell, export, import, lease, licence or otherwise deal in computer software, software related to hotels and travels management, hardware and programs of all kind and nature, and for all use including but not limited to computer aided

engineering, software for micro processor based systems. The details of the main objects are elaborately set out in the Memorandum of Association of the Transferor Company. The Transferee Company is carrying on the business of data processing and related activities N.E.C EC data tabulation services, computer time sharing services, application service providers, data storage, streaming services and also carry on the business of providing business process outsourcing, IT enabled services, call centres, medical transcription services, back office service, data processing, internet services, maintenance, support & service, etc. The details of the main objects are elaborately set out in the Memorandum of Association of the Transferee Company. The Board of Directors of the Transferor and Transferee Companies have approved the said Scheme of Amalgamation, vide their Resolution(s) dated 10.11.2017.

3. This Bench vide Order dated 12.04.2018 passed in CA/78/CAA/2018 has dispensed with the meeting of the Equity / Preference Shareholders of the Transferor

Company, and the Equity Shareholders of the Transferee Company. The Transferor Company has one (1) Secured Creditor, and 15 Unsecured Trade Creditors, a Certificate from the Chartered Accountants confirms the same. The consent Affidavits have been obtained from the said Creditors, therefore, the meeting of the Secured Creditor and Unsecured Trade Creditors was dispensed with. The Transferor Company has no Unsecured Creditor, and also the Transferee Company has no Secured/Unsecured Creditors, Certificates from the Chartered Accountants confirm the same. In short, the Petitioner Companies have complied with all the requirements of law.

4. The Counsel appearing for the Petitioner Companies has submitted that the rationale and circumstances that have necessitated the proposed Scheme are that the amalgamation will enable greater integration, financial strength and flexibility for the amalgamated entity which will facilitate in focussed growth, operational efficiencies, business synergies and better

supervision of the business of the group and pooling of resources of the Transferor Company with the resources of the Transferee Company to their advantage, resulting in more productive utilisation of resources. He has further submitted that no investigation proceedings are pending against the Companies under Sections 235 to 251 of the Companies Act, 1956 or corresponding provisions of the Companies Act, 2013.

5. The Regional Director, Southern Region (In short, **'RD'**) in his Affidavit dated 09.10.2018 submitted that Clause 6 of the Scheme provide for the protection of the interest of the employees / staffs of the Transferor Company. It has further been submitted that as per the report of the RoC, Chennai, the Transferor Company is regular in filing the statutory returns, and the Transferee Company was incorporated in 2017 only, hence the first statutory returns are not yet due. He has further submitted that no complaints are

pending and no inspection or investigation has been conducted against the Petitioner Companies.

6. The RD in Para 9 of his Affidavit has observed that Clause 10.3 of the Scheme has stated that the authorised capital of the Transferor Company will be merged with the authorised capital of the Transferee Company. Therefore, the Transferee Company may be directed to file the amended MoA and AoA with the RoC, Chennai for records.

7. The RD further observed that in the said Clause of the Scheme, the Companies have stated that the Transferee Company would not be required to pay any fee or stamp duty for the increase of the authorised capital. He has mentioned that as provided under Clause (i) to Sub Section (3) of Section 232 of the Companies Act, 2013, the Transferee Company has to pay the fees, if any, for the enhanced authorised capital subsequent to the amalgamation after setting off the fees paid by the Transferor Company. He has suggested that the Transferee Company may be

directed to comply with the provisions of the Act, by making an application with the RoC, Chennai, for payment of the balance fee as applicable under the provisions of the Act and Rules framed thereunder.

8. The RD has observed in para 10 of his Affidavit that Clause 10.3 and 13 of the Scheme has provided for allotment of Compulsorily Convertible Preference Shares and also Non-cumulative Optionally Convertible Redeemable Preference Shares by the Transferee Company to the shareholders of the Transferor Company who hold such type of share capital. He has suggested that the Transferee Company does not have the above nature of shares in its capital clause of the MoA and AoA, the Transferee Company may be directed to file the amended MoA and AoA with the RoC, Chennai for his records. The RD has not raised any other objection except the above observations.

9. In relation to the observation(s) made by the RD in his Affidavit, the authorised person of the Transferee

Company has filed an Affidavit deposing therein that the Transferee Company undertakes to file the amended MoA and AoA with the RoC, Chennai, and to pay the requisite statutory fee payable upon increase of the authorised share capital of the Transferee Company as per the applicable legal provisions. Accordingly, the Transferee Company shall amend the MoA and AoA and file the same with the RoC, Chennai, and shall pay fee as may be required.

10. The Official Liquidator (In short, **'OL'**) in his Report dated 18.09.2018, submitted that on receiving the copy of the Order, he has nominated Mr. R.Mugunthan, Chartered Accountants (Auditor), Chennai, who is one of the empanelled Auditors by the Hon'ble High Court of Madras, to look into the Scheme of Amalgamation and to scrutinize the books of accounts of the Transferor Company. The Auditor has broadly reviewed and observed that under Clause 6.1 of Part-B of the proposed Scheme, the interest of all the staffs, workmen and employees in the service of the Transferor Company is safeguarded.

13. The OL has also submitted that the Chartered Accountants have examined the Books of Accounts and records, other documents, annual reports and statutory books and registers of the Transferor Company. The affairs of the Company have not been conducted in a manner which is prejudicial to the interest of its members or to the public interest and that they did not come across any transactions involving act of misfeasance, which would attract the provisions of Sections 542/543 of the Companies Act, 1956, and other relevant Sections of the Companies Act, 2013.

14. The OL has further observed that the Transferor Company has been covered under the Employees Provident Fund Act and makes contribution to the Provident/Pension funds to the Regional Provident Fund Commissioner and in respect of Gratuity, the Transferor Company is making contributions based on the actuarial valuation.

15. As per Clause 14 of the Scheme, it appears that the Accounting Treatment is in conformity with the Accounting Standards.

16. There is no additional requirement for any modification and the said Scheme of Amalgamation appears to be fair and reasonable, and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under Sections 230 to 232 of the Companies Act, 2013. Taking into consideration the above facts, the Company Petition(s) is allowed and the Scheme of Amalgamation annexed with the Petition is hereby sanctioned which shall be binding on the Shareholders, Creditors and employees of the Petitioner Companies. The Appointed Date is 1st April, 2018, as mentioned in the Scheme.

17. While approving the Scheme as above, it is clarified that this Order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the

relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

18. The Companies to the said Scheme or other person(s) interested shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme.

19. A certified copy of this Order shall be filed with the concerned Registrar of Companies within 30 days of the receipt of this Order.

20. The Transferor Company shall be dissolved without winding up from the date of the filing of the certified copy of this Order with the Registrar of Companies.

21. Upon receiving the certified copy of this Order, the RoC, Chennai, is directed to place all documents relating to the Transferor Company with that of the Transferee Company, and the files relating to the

Transferor Company shall be consolidated with the files and records of the Transferee Company.

22. The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, notified on 14th December, 2016.

23. Accordingly, the Scheme stands sanctioned and CP/6/CAA/2019 stands **disposed of.**

(CH. MOHD SHARIEF TARIQ)
MEMBER (JUDICIAL)

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